

MGTF 406: Behavioral Finance

Spring 2026

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COURSE DESCRIPTION

The field of finance has developed a successful paradigm based on the notions that investors and managers are generally rational and the prices of securities are generally “efficient.” In recent years, many empirical and experimental studies have challenged the rational paradigm as insufficient to describe various features of financial markets. In this course we will review that evidence and use insights from psychology to guide and develop alternative theories of financial markets. We also will examine how the principles of behavioral finance complement the traditional paradigm and shed light on investors' trading patterns, the behavior of asset prices and corporate finance.

When evaluating the research which challenges market efficiency, this course will require students to work with large amounts of financial data. Thus, this course will be data-intensive. The course also requires students to use Python to analyze financial data, so there will be a substantial learning curve for students becoming familiar with the common financial datasets (CRSP and COMPUSTAT) as well programming in Python. However, for students pursuing a career in finance, these will be valuable tools.

HEDGE FUND PROJECT

One of the fields where behavioral finance is most applied is the hedge fund industry. Hedge funds often don't believe in fully efficient markets (or else they wouldn't exist!).

The capstone requirement for this course will be a hedge fund project where each team will design a trading strategy. Viable trading strategies can come from research discussed in class or from other sources. Teams will be judged based on the uniqueness of the idea, the viability of the strategy and the thoroughness of the analysis.

CLASS RESOURCES

The primary resource for the class are the lectures and accompanying slides. In addition, the TAs will hold weekly review sessions to go over material, review homework and answer data and programming questions.

COURSE MATERIALS

1. Students will be required to use Python accessed via UCSD's Datahub.
2. All other course materials will be posted on Canvas.

EVALUATION AND GRADING

Homeworks/Projects may be done in groups of no more than five people, with one report per group.

Grade Distribution:

Exam	50%
Hedge Fund Project (group)	35%
Homeworks (group)	15%

*There will be 4 homeworks. I will drop your lowest homework grade.

The Final Exam is on Tuesday, June 9th from 11:30 a.m. to 2:30 p.m. Section 105308 will be in Otterson 1E106 & Section 105309 will be in Otterson 1E107.

ACADEMIC INTEGRITY

Integrity of scholarship is essential for an academic community. As members of the Rady School, we pledge ourselves to uphold the highest ethical standards. The University expects that both faculty and students will honor this principle and in so doing protect the validity of University intellectual work. For students, this means that all academic work will be done by the individual to whom it is assigned, without unauthorized aid of any kind.

The complete UCSD Policy on Integrity of Scholarship can be viewed at:
<https://academicintegrity.ucsd.edu/process/policy.html>

STUDENTS WITH DISABILITIES

A student who has a disability or special need and requires an accommodation in order to have equal access to the classroom must register with the Office for Students with Disabilities (OSD). The OSD will determine what accommodations may be made and provide the necessary documentation to present to the faculty member.

The student must present the OSD letter of certification and OSD accommodation recommendation to the appropriate faculty member in order to initiate the request for accommodation in classes, examinations, or other academic program activities. No accommodations can be implemented retroactively.

Please visit the [OSD website](#) for further information or contact the Office for Students with Disabilities at (858) 534-4382 or osd@ucsd.edu.

SCHEDULE

The following class schedule is tentative. We will sometimes take a little bit more and sometimes a little bit less time for a topic than planned. I will announce any adjustments in class and repost any adjusted schedule.

Session 1:

Topic: Introduction and Some Early EMH Evidence.

Session 2:

Topics: Introduction and Some Early EMH Evidence (continued).

Assignment: Homework #1 Posted

Sessions 3:

Topics: Some Evidence of Inefficient Markets.

Session 4:

Topics: Some Evidence of Inefficient Markets (continued).

Assignment: Homework #2 Posted

Session 5:

Topics: The Demand of Average Investors (continued).

Session 6:

Topics: The Demand of Average Investors (continued).

Assignment: Homework #3 Posted

Session 7:

Topics: The Demand of Arbitrageurs.

Session 8:

Topics: Supply by Firms.

Session 9:

Topics: Recent Behavioral Finance Research.

Assignment: Homework #4 Posted

Session 10:

Topics: Hedge Fund Project Presentations